

Case Studies: Travel Rule Compliance with Hosted & Unhosted Wallets

Case Study 5 – Ongoing Monitoring

Background

Customer Z, a retail customer, declared during on-boarding that he actively traded in cryptocurrencies through a Singapore-domiciled DPTSP where he maintained a hosted wallet with the DPTSP. Separately, he also maintained an unhosted wallet. Below is a snapshot of the KYC controls the DPTSP had in place.		
	During Onboarding	During Transfers
Hosted Wallet	• KYC information obtained and KYC checks in place • Travel rule implemented through integration with a travel rule solution provider	• Travel rule implemented
Unhosted Wallet	• KYC information obtained and KYC checks in place • Proof of control/ownership required (Satoshi Test²⁴ implemented / evidence of customer login to wallet by officials of FI)	• Proof of control/ownership required (Satoshi Test implemented)

Examples of Due Diligence Measures to be Put in Place

While travel rule is only applicable for hosted wallets for regulated entities, incremental due diligence may be required for unhosted wallets.

Examples of controls that FIs can adopt include:

1. Identifying transfers where DPTSP counterparty is not able to share relevant details and subject to exceptional processes, cryptocurrency credit should only be provided to customer after the details are obtained.
2. Considering filing of Suspicious Transaction Reports or closure of relationship if required
3. Ensuring that details received or to be sent as part of travel rule is screened before the cryptocurrency credit is provided to the account or cryptocurrency transfer out is initiated
4. Evaluating appropriate due diligence when selecting travel rule solution provider by considering cyber and information security standards, as well as data privacy.

Due to differences in jurisdictions’ thresholds and maturity of implementation of travel rule solution, FIs should work with Customer and DPTSP counterparty where required to ensure that information exchange is done in a safe and secure manner.

For transfers from unhosted wallets, FIs may evaluate controls which may include:

- a) Identifying originator and beneficiary for transfers and subject them to screening.
- b) ID/IV of originator/beneficiary in case of third-party transfers (change in beneficial ownership)
- c) Proof of customer’s ownership/control of the wallet

The following scenarios necessitate closer attention or additional due diligence as it may lead to non-compliance of travel rule related regulations:

- a) No process for exchange of information for transfers from DPTSP (irrespective of regulatory status)
- b) Challenges around interoperability of travel rule solutions if FI and DPTSP counterparty use different service providers
- c) Details obtained are not subject to screening
- d) Absence of checks (Satoshi / evidence of customer login etc.) for transfers from unhosted wallets

²⁴Satoshi Test is a method to verify ownership / control of unhosted wallets by requiring the owner to send a small amount of cryptocurrency to the DPTSP within a specific time period. Some DPTSPs are assessing adoption of wallet signature checks as an alternate for Satoshi test – FIs to evaluate solutions best fit based on business needs and risk appetite.